

Commentary on Chapter 6

The punches you miss are the ones that wear you out.

—Boxing trainer Angelo Dundee

For the aggressive as well as the defensive investor, what you don't do is as important to your success as what you do. In this chapter, Graham lists his "don'ts" for aggressive investors. Here is a list for today.

Junkyard Dogs?

High-yield bonds—which Graham calls “second-grade” or “lower-grade” and today are called “junk bonds”—get a brisk thumbs-down from Graham. In his day, it was too costly and cumbersome for an individual investor to diversify away the risks of default;^{[1](#)} (To learn how bad a default can be, and how carelessly even “sophisticated” professional bond investors can buy into one, see the sidebar on p. 146.) Today, however, more than 130 mutual funds specialize in junk bonds. These funds buy junk by the cartload; they hold dozens of different bonds. That mitigates Graham's complaints about the difficulty of diversifying. (However, his bias against high-yield preferred stock remains valid, since there remains no cheap and widely available way to spread their risks.)

Since 1978, an annual average of 4.4% of the junk-bond market has gone into default—but, even after those defaults, junk bonds have still